

Anyway, I thought the stock was going to turn, but it didn't. It kept going down.

With the third trade, I bought at the lower trendline, expecting an upward bounce. Instead, it closed the day outside the pattern's boundary, breaking out downward from the pattern. The next day, I closed out all three trades and took a loss of 15%, 8%, and 4% on them, respectively.

My notebook tells what I learned.

- Lesson: If an upside breakout from partial decline does not appear immediately, sell.
- Lesson: Do not buy more of a stock as it moves downward across the broadening pattern. Wait for it to bounce off the bottom trendline. Otherwise, the breakout could be downward, resulting in multiple losing trades.
- Lesson: Close out the trade when the market tells you you're wrong.

National Fuel Gas

National Fuel Gas (NFG) in late 2004 formed a broadening pattern. This pattern broke out upward, and I bought the next day, the same day the stock closed back inside the pattern (I didn't know it at the time).

From my notebook: “9 March 2005. Buy reason: Busted triple top, upward breakout from RABFD [right-angled broadening formation, descending]. The other natural gas companies have stocks that are moving up almost vertically. This one is pausing from recent gains in the rounding turn. Earnings are weak, but the market doesn't seem to mind. I expect the stock to move up as it follows the other natural gas companies higher. Earnings come out in April, and I expect them to be good, sending the stock higher. I think the price is anticipating a strong showing. The stop is a close one just in case (7% away).”

On 18 April, I have this curious entry: “I removed the stop intraday as I was getting used to my broker. The stock dipped below the stop price, but I didn't have a stop in place, so I wasn't taken out. Stop remains at 27.43.” To me that sounds confusing, as if I removed the stop and put it back in, too